

nearly 300 chief executive officers in the United States and abroad. On the question of accountability, the respondents acknowledged their responsibility to the owners of their companies. Yet the Conference Board's report noted that allegiance to shareholders is waning:

In the United States particularly, shareholders, as such, do not command the esteem they used to. . . . The changing structure of equity holdings evokes a bit of cynicism among some CEOs about shareholders. A U.S. CEO complains: "A year from now, 70% of my stockholders will have changed. On that basis, I put my customers, and my employees, way ahead of them."

In recent months comments like these have become the rallying cry of entrenched managements. Many CEOs and their lobbying organizations have seized on a new philosophical rationale for insulating themselves from the expectations of owners and explaining away the undervaluation of their securities.

This new argument against shareholder activism has come to be known as the short-term theory. It is based on the premise that achieving value for shareholders within a reasonable time frame is incompatible with pursuing future growth. When confronted with a perceived threat to their sovereignty, managers have learned to portray themselves as long-term visionaries and their dissident stockholders as short-term opportunists.

Increasing acceptance of the short-term theory has freed executives to scorn any shareholders they choose to identify as short-termers. Executives aim their contempt not only at the initiators of takeover attempts but at the arbitrageurs and the institutional investors who frequently trade in and out of stocks.

Armed with this argument, growing numbers of corporations are erecting potent new takeover defenses. These corporations are subdividing shareholders into categories based solely on seniority. Those that management determines have